2. It requires more managers with general managerial abilities. Such managers may not be always available.
3. There may be conflict between the regional managers.
4. Co-ordination and control of different branches from the head office become less effective.
5. Owing to duplication of physical facilities, costs of operation are usually high.
6. There is multiplication of personnel, accounting and other services at the regional level.

(D) Departmentation by Customers:

In such method of departmentation, the activities are grouped according to the type of customers. For example, a large cloth store may be divided into wholesale, retail, and export divisions. This type of departmentation is useful for the enterprises which sell a product or service to a number of clearly defined customer groups. For instance, a large readymade garment store may have a separate department each for men, women, and children. A bank may have separate loan departments for large-scale and small- scale businessmen.

The organisation chart of customer-oriented departmentation may appear as follows:

Advantages:

The important advantages of customer departmentation are the following:

1. Special attention can be given to the particular tastes and preferences of each type of customer.
2. Different types of customers can be satisfied, easily through specialized staff. Customers' satisfaction enhances the goodwill and sale of the enterprise.
3. The benefits of specialization can be gained.
4. The enterprise may acquire intimate knowledge of the needs of each category of customers.

Disadvantages:

This method of departmentation may have certain disadvantages, specially when it is followed very rigidly. These are as follows:

1. Co-ordination between sales and other functions becomes difficult because this method can be followed only in marketing division.
2. There may be under-utilization of facilities and manpower in some departments, particularly during the period of low demand.
3. It may lead to duplication of activities and heavy overheads.
4. The managers of customer departments may put pressures for special benefits and facilities.

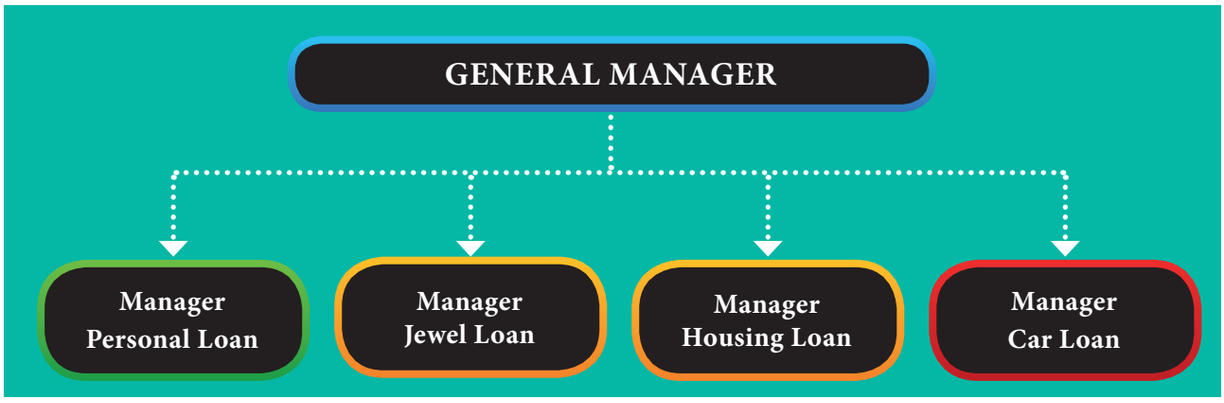


Figure 6.4 Departmentation by Customers

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